

Metropolitan 4¹/₂s) were in default, and the company was in receivership. The bondholders were entitled to claim all the assets, which had substantial value; the stockholders were without equity of any sort. In the subsequent reorganization the preferred and common shares were extinguished completely, while the 4¹/₂% bondholders received new securities eventually worth considerably more than 13% of the face amount of the bonds.

2. In January 1920, Interborough Rapid Transit Co. 7% notes, due September 1921, sold at 64¹/₂, while the same company's First and Refunding 5s, due 1966, sold at 53¹/₄. Each 7% note was secured by deposit of about \$1,562 of 5% bonds and was convertible into about \$1,144 of 5% bonds. At the relative prices the notes were far more desirable than the bonds because: (a) the notes enjoyed better security; (b) they yielded a larger return; and (c) their conversion privilege permitted the owner to benefit from any advance in the price of the 5% bonds.

The notes were extended for one year at 8%; and in 1922 the holders were offered \$100 in cash and \$900 in 7% secured, convertible notes, due 1932. Those not accepting either offer were able to compel payment in full. An exchange from 5s into 7s at the prices above indicated would have shown a substantial profit at various times in 1921 and 1922.

3. In the early part of 1929, Interborough Rapid Transit Company capital stock repeatedly sold at a higher price than Manhattan Ry. Co. "Modified Guaranty" stock (e.g., 55¹/₂ for I.R.T. vs. 54 for Manhattan Mod. Gty. in March 1929). This price relationship was illogical because:

- a. "Manhattan Modified" was entitled to cumulative annual dividends of 5%, and to payment of 6¹/₄% accumulated, before Interborough stock received anything.
- b. "Manhattan Modified" was further entitled to receive a total of 7% in the event that Interborough received 6%.
- c. Interborough could not receive more than 7% prior to 1950.
- d. Dividends of 5% were actually being paid on Manhattan, while Interborough was not receiving anything.

It should have been manifest that the Manhattan shareholders were certain to receive at least as high a dividend as the Interborough shareholders for the next 21 years. By August 1929, the price disparity was corrected, for the "Manhattan Modified" stock sold 16 points higher than Interborough (39¹/₄ against 23).

4. In October 1933, I.R.T. 5% bonds and 7% notes both sold at 65. This disparity was discussed in detail in Chap. 1 and referred to again in Chap. 51.